

[SavePredictedExams](#) — SME

Economics

Higher level / Standard level

Paper 1

SME Predicted Paper Set — Moderate

1 hour 15 minutes

Instructions to candidates

- Do not open this examination paper until instructed to do so.
- You are not permitted access to any calculator for this paper.
- Answer **one** question.
- Use fully labelled diagrams where appropriate.
- The maximum mark for this examination paper is **[25 marks]**.

Answer one question.**1.**

(a) Using a demand and supply diagram, explain how the imposition of an indirect tax on cigarettes affects the equilibrium price and quantity in the market. **[10]**

(b) Using real-world examples, discuss the view that indirect taxes are the most effective way for governments to reduce the consumption of demerit goods. **[15]**

2.

(a) Explain, using a diagram, how an increase in aggregate demand can lead to economic growth in an economy operating with spare capacity. **[10]**

(b) Using real-world examples, evaluate the effectiveness of expansionary monetary policy in stimulating an economy during a recession. **[15]**

3.

(a) Explain two consequences of high unemployment for an economy. **[10]**

(b) Using real-world examples, discuss the view that supply-side policies are the best way to reduce long-term unemployment. **[15]**